Type MS · Franchising: franchisor and franchisee

Answer 1 of 8 · Question 1 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **B -** Overdraft	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 - 1 mark** **C –** Maturity	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **D -** Rent for *Lavender*'s businesses	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO1 - 1 mark** **A–** Health and safety	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** 11 250	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 - 1 mark** **D** - 8 514.00	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of short-term finance. Money borrowed that must be paid back within 12 months **(1).**	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 1 of 8 · Question 1 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of above the line promotion. The use of mass media methods to promote to a large audience **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a correct reason why *Lavender* would recruit internally in the context of the business. • Employees will know how the different outlets operate such as *L.cafe* **(1).** • Employee will already have knowledge of the cakes made by the business **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**AO2 - 2 marks** 25 x 12 = 300 15/100 x 300 = 45 300 – 45 **(1).** = 255 **(1).**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Franchising: franchisor and franchisee

Answer 1 of 8 · Question 1 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**AO1 - 3 marks** Award 1 mark for identification of an advantage, plus 2 further marks for explaining how this advantage will affect the business for a maximum of 3 marks. • The franchisee invests in a tried and tested business **(1)** and gets advice and training from the franchisor **(1)** this reduces the risk of failure **(1).** Answers that list more than one advantage with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Franchising: franchisor and franchisee

Answer 1 of 8 · Question 1 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Satisfied customers are more likely to repeat purchase of cakes from *Lavender* bakery. • *Lavender* is expanding into different types of food outlets such as *L.bistro, L.cafe* and *L.table.* **AO3** • This leads to an increase in sales and customer loyalty so *Lavender* could end up spending less on promoting their products as satisfied customers will recommend other *Lavender* businesses to their friends and family through word of mouth. • Customer satisfaction in one outlet may lead to customers trying other outlets leading to improved revenues.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Franchising: franchisor and franchisee

Answer 1 of 8 · Question 1 part f · 3 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark

Type MS · Franchising: franchisor and franchisee

Answer 2 of 8 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 1 of 7 · find part c in this mark scheme extract

4 (a)	**A02 - 2 marks** Award 2 marks for the correct answer €849.52 **(2)** Award 1 mark for working 820 x 3.6% **(1)** **OR** 29.52 **(1)**	**(2)**

Type MS · Franchising: franchisor and franchisee

Answer 2 of 8 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 2 of 7 · find part c in this mark scheme extract

Question Number	Analyse the importance of cash to the success of *Ocean Vibes* **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • *Ocean Vibes* requires cash to pay the wages and salaries of its boat tour guides and sales team • *Ocean Vibes* need cash to pay its overheads such as fuel and other equipment for the boat **AO3** • If *Ocean Vibes* is unable to pay the wages of the tour guides on time, the guides are likely to leave the business to work for a competitor • If *Ocean Vibes* runs out of cash and is unable to pay its liabilities, then the business may become insolvent and close down	**(6)**

Type MS · Franchising: franchisor and franchisee

Answer 2 of 8 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 3 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Franchising: franchisor and franchisee

Answer 2 of 8 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 4 of 7 · find part c in this mark scheme extract

Question Number	Evaluate the benefits to *Ocean Vibes* of operating as a franchise to further expand its business. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • A franchise is a business that gives the right to another person or business to sell its products or services • The franchise receives set-up /royalty fees from the franchisee **AO2** • The franchisees can assist in the growth of *Ocean Vibes* by offering boat tours in other tourist resorts • *Ocean Vibes* will receive revenue from the franchisees operating in other tourist resorts in Portugal **AO3** • This will allow the brand name of *Ocean Vibes* to be extended to other areas of Portugal and encourage customer loyalty • The fees received by *Ocean Vibes* can be used to invest in the research of wildlife to fulfil the goal of Alfred and Pedro which is to connect tourism with science	

Type MS · Franchising: franchisor and franchisee

Answer 2 of 8 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 5 of 7 · find part c in this mark scheme extract

	AO4 • However, *Ocean Vibes* risk the chance of their reputation being damaged if the franchisees do not operate the boat tours in a responsible manner • However, there are many competitors in the boat tour market and Alfred and Pedro may fail to find franchisees who are willing to pay the franchise fees to *Ocean Vibes*	**(12)**

Type MS · Franchising: franchisor and franchisee

Answer 2 of 8 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 6 of 7 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Franchising: franchisor and franchisee

Answer 2 of 8 · Question 4 part c · 12 marks

2025 NOV · Paper 01 · extract 7 of 7 · find part c in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Franchising: franchisor and franchisee

Answer 3 of 8 · Question 1 part a.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **The only correct answer is D - Manufacture of finished goods** A is not correct because production does not provide services B is not correct because production is not the exchange of goods C is not correct because extraction of raw materials is not production	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **The only correct answer is B - The person is given support from an established business** A is not correct because a franchise cannot buy supplies from anyone C is not correct because a franchise is not guaranteed a set wage D is not correct because the profits are not shared in a franchise	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO2 = 1 mark** **The only correct answer is D - 50.94%** A is not correct because 6.63% calculation incorrect B is not correct because 1 600 / 1 060 = 15.09 C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75%	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 3 of 8 · Question 1 part a.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (a)(iv)	**AO1 = 1 mark** **The only correct answer is A - Higher loan repayments** B is not correct because a bank increasing the interest rates does not affect labour costs C is not correct because a bank increasing interest rates would possibly reduce net cash flow D is not correct because a bank increasing interest rates would possibly reduce sales	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **The only correct answer is B - It is funded by government** A is not correct because a public corporation is not owned by the directors C is not correct because a public corporation does not aim to maximise profit D is not correct because a public corporation is accountable to the public	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **The only correct answer is C - £980 000** A is not correct because - £40 000 is cash inflow minus outflow B is not correct because £40 000 is outflow minus inflow D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 3 of 8 · Question 1 part a.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for a correct definition of commission. • Payment made to an employee linked to the number of sales made (1).	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for a correct definition of revenue. • Money from the sale of goods/services (1).	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 = 1 mark** Award 1 mark for a valid reason for having a short span of control in the context of the business. • This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 = 2 marks** 92 322 – 85 083 = 7 239 (1) 7 239/85 038 = 8.51% (1)	Award 1 mark for substituting numbers into formula correctly. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Franchising: franchisor and franchisee

Answer 3 of 8 · Question 1 part a.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 = 3 marks** Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1). Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response**.	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It differentiates its football products from those of its competitors. • It helps customers to recognise its own logo that appears on all its products. **AO3** • Advertising the footballs is easier because customers are aware of the brand name and the quality of products. • Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo.	**(6)**

Type MS · Franchising: franchisor and franchisee

Answer 3 of 8 · Question 1 part a.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part a.ii in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Franchising: franchisor and franchisee

Answer 3 of 8 · Question 1 part a.ii · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part a.ii in this mark scheme extract

Question Number	Answer	Mark

Type MS · Franchising: franchisor and franchisee

Answer 4 of 8 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 02 · extract 1 of 7 · find part a.vi in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 4 of 8 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 02 · extract 2 of 7 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 4 of 8 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 02 · extract 3 of 7 · find part a.vi in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 4 of 8 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 02 · extract 4 of 7 · find part a.vi in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 4 of 8 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 02 · extract 5 of 7 · find part a.vi in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Franchising: franchisor and franchisee

Answer 4 of 8 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 02 · extract 6 of 7 · find part a.vi in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Franchising: franchisor and franchisee

Answer 4 of 8 · Question 1 part a.vi · 1 mark

2021 JUN · Paper 02 · extract 7 of 7 · find part a.vi in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Franchising: franchisor and franchisee

Answer 5 of 8 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 02 · extract 1 of 6 · find part a.iv in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **C** Cash flow A – a mortgage is a loan B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost	**(1)**

Question Number	Which **one** of the following could a person complete when applying for a job? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **A** Application form B – Shortlisting is the process of deciding which applicants to interview C – Job description gives of the job for which applicants can apply D Person specification gives details of the type of person required for the job	**(1)**

Question Number	Which **one** of the following is the correct statement? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** Loss of 550 000 A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs D – Profit is incorrect as this calculates revenue minus variable costs	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 5 of 8 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following is a benefit of being a franchisee? **Answer**	**Mark**
1 (a)(iv)	**AO1 - 1 mark** **B** Selling an established brand A – You cannot choose your own suppliers as a franchise C – You would still have to pay interest on any bank loans whether a franchisee or not D – You do not have complete control of the business if you are a franchisee the franchisor does	**(1)**

Question Number	Which **one** of the following is the percentage increase from 2019 to 2020? **Answer**	**Mark**
1 (a) (v)	**AO2 - 1 mark** **D** 6% A – is 2.31 ÷ 38.5 = 0.06% B – is 40.81 ÷ 38.5 = 1.06% C – is 40.81 – 38.5 = 2.31%	**(1)**

Question Number	Which **one** of the following functional areas could help employees who had a problem with their wage? **Answer**	**Mark**
1 (a)(vi)	**AO1 - 1 mark** **B** Finance A – Production is making goods C – Marketing is about identifying, anticipating and satisfying customer requirements profitably D – Sales is selling the goods to customers	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 5 of 8 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part a.iv in this mark scheme extract

Question Number	Define the term **break-even**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **break-even**. • When costs and revenue are the same **(1)** • When total costs are the same as total sales **(1)**	**(1)**

Question Number	Define the term **public corporation**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **public corporation** • Owned by the state/central government **(1)**	**(1)**

Question Number	State **one** benefit for *LEGO* of having a short span of control. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid benefit for having a short span of control in the context of the business. • By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)** • Allows all 18,000 world-wide employees to make suggestions about the new products **(1)** **NB** Do not accept a benefit that is not in the context of LEGO. **Accept any other appropriate response**	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 5 of 8 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part a.iv in this mark scheme extract

Question Number	Calculate, to two decimal places, the cost of making the pineapple pencil holders. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 148 ÷ 115 = 1.287 **(1)** 1.287 × 100 = 128.70 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage of using questionnaires as a method of market research. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)** • If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)** NB No marks are awarded for a definition. Answers that list three disadvantages with no explanation will get a 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Franchising: franchisor and franchisee

Answer 5 of 8 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part a.iv in this mark scheme extract

Question Number	Analyse the benefits for *LEGO* of being a multinational business. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *LEGO* can sell its Harry Potter toys around the world • The arts and craft materials can be produced in the most cost-effective location for *LEGO* **AO3** • This means that *LEGO*'s global market will increase compared to rivals • Thus reducing the average total cost and leading to a larger profit margin	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Franchising: franchisor and franchisee

Answer 5 of 8 · Question 1 part a.iv · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part a.iv in this mark scheme extract

Question Number	State **one** financial objective for *LEGO*. **Answer**	**Mark**

Type MS · Franchising: franchisor and franchisee

Answer 6 of 8 · Question 1 part b · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **B -** Personal satisfaction **A** – is not the correct answer as generating wealth is a financial objective **C** - is not the correct answer as maximising profit is a financial objective **D** - is not the correct answer as regular income is a financial objective	**(1)**

Q. No.	Which **one** of the following would be a benefit to a business delaying paying its suppliers? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** The only correct answer is **A -** Improved cash flow **B** – is not the correct answer as profit would not be greater if you delayed paying suppliers **C** - is not the correct answer as suppliers would want more interest on the outstanding amount **D** - is not the correct answer as delaying payment would have the opposite effect on suppliers	**(1)**

Q. No.	Which **one** of the following would be the total monthly cost for *Jewellery For You*?	**Mark**
1 (a) (iii)	**AO1 - 1 mark** The only correct answer is **B -** €3 480 **A** – is not the correct answer as €924 is 27 x 12 + 600 **C** - is not the correct answer as €6 480 is 240 x 27 **D** - is not the correct answer as €7 080 is 240 x 27 + 600	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 6 of 8 · Question 1 part b · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

Q. No.	Which **one** of the following is a reason why a business would produce a cash flow forecast? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** The only correct answer is **C -** It can help a bank decide whether it should lend money to a business **A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast **B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful **D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months	**(1)**

Q. No.	Which **one** of the following was the cost of the holiday in Thai Baht? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** The only correct answer is **C -** 40 828.18 **A** – is not the correct answer as 24.20 is 998 ÷ 40.91 **B** – is not the correct answer as 1038.91 is 998 + 40.91 **D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91	**(1)**

Q. No.	Which **one** of the following is a reason why a sole trader would want to become a private limited company? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** The only correct answer is **D -** Increased ability to raise finance **A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential **B** – is not the correct answer as the private limited company would have limited liability **C** - is not the correct answer as shareholders are not liable for all debts	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 6 of 8 · Question 1 part b · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Q. No.	Define the term **franchise**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **franchise** • A business allows another operator to trade under its name **(1)**	**(1)**

Q. No.	Define the term **profit**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **profit** • Funds that are left over after all costs have been subtracted from the revenue **(1)**	**(1)**

Q. No.	State **one** reason why *TUI* pays its employees above the minimum wage. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business • By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)** • Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)** **NB** Do not accept a reason that is not in the context of *TUI.* Accept any appropriate response	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 6 of 8 · Question 1 part b · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Q. No.	Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 725.92 x 2 = 1451.84 1451.84 x 0.125 = 181.48 **(1)** 1451.84 – 181.48 = 1270.36 **(1)** **OR** 725.92 x 0.875 = 635.18 **(1)** 635.18 x 2 = 1270. 36 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** of the factors in Herzberg's motivational theory. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks. • One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)** • One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)** **NB** No marks are awarded for a definition. Answers that list three factors with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Franchising: franchisor and franchisee

Answer 6 of 8 · Question 1 part b · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Q. No.	Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling • Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them **AO3** • They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages • Thus, avoiding any accidents and *TUI* being sued by employees	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Franchising: franchisor and franchisee

Answer 6 of 8 · Question 1 part b · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Q. No.	State **one** possible reason why *TUI* would want to keep its customers loyal. **Answer**	**Mark**

Type MS · Franchising: franchisor and franchisee

Answer 7 of 8 · Question 1 part a.ii · 1 mark

2024 NOV · Paper 02 · extract 1 of 8 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D –** When total costs and total revenue are the same **A** – is not the correct answer as fixed and variable costs would not break-even **B** – is not the correct answer as total costs and fixed costs would not break-even **C** – is not the correct answer as fixed costs and total revenue would not break-even	**(1)**

Question Number	Which **one** of the following is a benefit to a franchisee? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** **The only correct answer is B –** The franchisee is given support from the franchisor **A** – is not the correct answer as the franchisee can only buy from the franchisor **C** – is not the correct answer as the wage will depend on sales made **D** – is not the correct answer as it is the franchisor who has total control	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 7 of 8 · Question 1 part a.ii · 1 mark

2024 NOV · Paper 02 · extract 2 of 8 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is an advantage of job production when compared to other methods of production? **Answer**	Mark
1 (a) (iii)	**AO2 - 1 mark** **The only correct answer is A** – Workers will be better motivated **B** – is not the correct answer as production speeds will be slower **C** – is not the correct answer as the unit costs will be different for each product made **D** – is not the correct answer as more training will be needed for job production	**(1)**

Question Number	Which **one** of the following would be the total amount paid by a customer for a room? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** **The only correct answer is D –** 406.25 **A** – is not the correct answer as 81.25 is 25% of the 325 **B** – is not the correct answer as 243.75 is 325 minus 81.25 **C** – is not the correct answer as 350 is 325 plus 25	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 7 of 8 · Question 1 part a.ii · 1 mark

2024 NOV · Paper 02 · extract 3 of 8 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is the percentage increase in revenue from 2021 to 2022. **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C –** 209.62% **A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100 **B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100 **D** – is not the correct answer as 523.20% is 772.80 – 249.60	**(1)**

Question Number	Which **one** of the following is an internal source of finance for a business? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** **The only correct answer is C –** Personal savings is the only correct answer **A** - is not the correct answer as Crowdfunding is an external source of finance **B** – is not the correct answer as Loan capital is an external source of finance **D** – is not the correct answer as Venture capital is an external source of finance	**(1)**

Question Number	Define the term **job description.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **job description.** • It shows the tasks, duties, roles and responsibilities for a named job **(1)**	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 7 of 8 · Question 1 part a.ii · 1 mark

2024 NOV · Paper 02 · extract 4 of 8 · find part a.ii in this mark scheme extract

Question Number	Define the term **public corporation.** Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of a **public corporation.** • A business owned and controlled by a state/government **(1)**	**(1)**

Question Number	State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business. • By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)** • Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)** **NB** Do not accept a reason that is not in the context of *Premier Inn* **Accept any other appropriate response.**	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 7 of 8 · Question 1 part a.ii · 1 mark

2024 NOV · Paper 02 · extract 5 of 8 · find part a.ii in this mark scheme extract

Question Number	Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 78.09 (2) **Or** 1 mark for workings if final answer incorrect 89.25 x 0.125 = 11.16**(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Franchising: franchisor and franchisee

Answer 7 of 8 · Question 1 part a.ii · 1 mark

2024 NOV · Paper 02 · extract 6 of 8 · find part a.ii in this mark scheme extract

Question Number	Explain **one** advantage of using focus groups when carrying out market research. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)** • Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)** **NB** No marks are awarded for a definition. Answers that list two advantages with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Franchising: franchisor and franchisee

Answer 7 of 8 · Question 1 part a.ii · 1 mark

2024 NOV · Paper 02 · extract 7 of 8 · find part a.ii in this mark scheme extract

Question Number	Analyse the benefits for India of these plans. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Building more hotels in India will provide greater job opportunities for the local population • The hotels will need employees with different skills such as chefs and waiters **AO3** • It will improve the overall Indian economy from increased taxes/revenue • It could reduce unemployment where the new hotels are built	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Franchising: franchisor and franchisee

Answer 7 of 8 · Question 1 part a.ii · 1 mark

2024 NOV · Paper 02 · extract 8 of 8 · find part a.ii in this mark scheme extract

Question Number	State **one** activity carried out by the marketing functional area at *Premier Inn*. **Answer**	**Mark**

Type MS · Franchising: franchisor and franchisee

Answer 8 of 8 · Question 1 part g · 6 marks

2023 JUN · Paper 02 · extract 1 of 7 · find part g in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **C** Survival **A** - is incorrect as challenge is a non-financial objective **B** - is incorrect as social objectives is a non-financial objective **D** - is incorrect as personal satisfaction is a non-financial objective	**(1)**

Question Number	Which **one** of the following is an advantage to a business of using venture capital? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** It can receive expert advice **A** - is incorrect as venture capital increases access to other sources of finance **B** - is incorrect as venture capital does not keep ownership within the business **C** - is incorrect as public relations is not affected by venture capital	**(1)**

Question Number	Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **D** 129 955.00 SEK **A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK **B** – is incorrect 19.75 x 1 000 ÷ 6.58 = 3 001.52 SEK **C** - is incorrect 19.75 x 1 000 = 19 750 SEK	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 8 of 8 · Question 1 part g · 6 marks

2023 JUN · Paper 02 · extract 2 of 7 · find part g in this mark scheme extract

Question Number	Which **one** of the following is the correct markup? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **C** 15.79**%** **A** is incorrect because 4 400 ÷ 3 800 = 1.16% **B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64% **D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79%	**(1)**

Question Number	Which **one** of the following is Phase 3 of the product life cycle? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **D** Maturity **A** is incorrect because phase 4 is decline **B** is incorrect because phase 2 is growth **C** is incorrect because phase 1 is introduction	**(1)**

Question Number	Which **one** of the following are equal in a break-even graph? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** Total costs and revenue **A** is incorrect because fixed and variable costs do not indicate the revenue **B** is incorrect because fixed costs and revenue do not take into account variable costs **C** is incorrect because total costs and fixed costs do not take into account revenue	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 8 of 8 · Question 1 part g · 6 marks

2023 JUN · Paper 02 · extract 3 of 7 · find part g in this mark scheme extract

Question Number	Define the term **person specification.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • Details of the qualifications, experience in the person appointed **(1)**	**(1)**

Question Number	Define the term **quality control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **quality control.** • A product or service that meets the standard set by the business **(1)**	**(1)**

Type MS · Franchising: franchisor and franchisee

Answer 8 of 8 · Question 1 part g · 6 marks

2023 JUN · Paper 02 · extract 4 of 7 · find part g in this mark scheme extract

Question Number	State **one** reason why *IKEA* provides induction training for new employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business. • New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)** • Staff will know how to show customers how the flat packs for sale are assembled **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places the gross profit margin for 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 11 725/37 368 x 100 **(1)** = 31.38 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Franchising: franchisor and franchisee

Answer 8 of 8 · Question 1 part g · 6 marks

2023 JUN · Paper 02 · extract 5 of 7 · find part g in this mark scheme extract

Question Number	Explain **one** reason why businesses want to use resources effectively in manufacturing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)** • If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Franchising: franchisor and franchisee

Answer 8 of 8 · Question 1 part g · 6 marks

2023 JUN · Paper 02 · extract 6 of 7 · find part g in this mark scheme extract

Question Number	Analyse the benefits to *IKEA* of all its stores being franchises. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world • All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture **AO3** • *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business • This allows *IKEA* to gain revenue from every franchised store making it more successful	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
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Type MS · Franchising: franchisor and franchisee

Answer 8 of 8 · Question 1 part g · 6 marks

2023 JUN · Paper 02 · extract 7 of 7 · find part g in this mark scheme extract

Question Number	State **one** reason why *IKEA* would employ temporary staff. **Answer**	**Mark**